QP Code :25900037 - Series A –

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

Answer Scheme

MGU -UGP (HONOURS) REGULAR EXAMINATION MARCH 2025- SECOND SEMESTER

MG2DSCCOM100- INDIAN SECURITIES MARKET: STRUCTURE AND OPERATIONS

Duration: I.25 hours Maximum Marks :70

Part A- Multiple Choice Questions. Attempt 20 questions. Each question carries 1 mark

Question Number	Option	Answer
1	d	Share
2	a	Money Market
3	d	To control and supervise the capital market intermediaries
4	a	Mumbai
5	a	Public Issues (IPOs and FPOs)
6	b	Securities and exchange board of India (SEBI)
7	d	A private offering of securities
8	b	Dilutes their ownership percentage
9	d	50
10	a	National Stock Exchange
11	b	NIFTY Pharma
12	b	Dematerialisation
13	c	Investor's portfolio performance
14	b	Bulls
15	b	Locking in a price to avoid future fluctuations
16	b	Only on the expiration date
17	b	Writer
18	d	Asset Management Company
19	a	Sovereign Gold Bonds and Green Bonds
20	b	Money Market Mutual Funds
21	b	Stock brokers
22	b	To learn and Practice trading strategies without risk

Part B- Multiple Choice Questions- Attempt any 25 questions. Each question carries 2 marks

23	a OR d*	(i),(ii) and (iv) only (i) , (ii), (iii) and (iv)
24	d	Both statements are true
25	c	Statement I is false, and Statement II is true
26	c	Promoting investor awareness and education
27	c	IPO is generally costlier than QIP
28	c	III only
29	d	Depository Participant
30	b	It facilitates trading of shares post-listing
31	a	Red Herring Prospectus
32	c	Speculation can accelerate price discovery by incorporating diverse market expectations

33	b	Facilitates stock trading and investments
34	c	Futures and Options
35	a	Holding securities in electronic form and facilitating trade settlements
36	c	An agreement between a company and a stock exchange
37	c	Issuing physical share certificate
38	b or d	Limit order OR Trailing Stop Order (2 marks for both)
39	a	To keep the index updated and accurate
40	a	Both (A) and (R) are true, and (R) is the correct explanation of (A)
41	a	Forwards have higher counterparty risk due to no clearinghouse involvement
42	b	In the money
43	b	Statement I is True and Statement II is False
44	c	Statement I is False and Statement II is True
45	d	ii and iii
46	c	I, II and IV only
47	a c	Sell the stock for profit- 2 marks Buy more shares at the current price – 1 mark
48	a	By penalizing fraudulent practices and promoting transparency
49	a	Both (A) and (R) are true, and (R) is the correct explanation of (A)

QP Code: 25900037- Series B

MG2DSCCOM100- INDIAN SECURITIES MARKET: STRUCTURE AND OPERATIONS

Part A- Multiple Choice Questions-Attempt any 20 questions. Each question carries 1 mark

Question Number	Option	Answer
1	a	Mumbai
2	b	Bull
3	b	Dilutes their ownership percentage
4	d	To control and supervise the capital market intermediaries
5	d	A private offering of securities
6	c	Investor’s portfolio performance
7	a	Money market
8	b	Writer
9	a	Public Issues (IPOs and FPOs)
10	b	Money Market Mutual Funds
11	d	Shares
12	b	Only on the expiration date
13	b	Dematerialisation
14	a	National Stock Exchange
15	d	50

16	b	NIFTY Pharma
17	b	Stockbrokers
18	a	Sovereign Gold Bonds and Green Bonds
19	d	Asset Management Company
20	b	Locking in a price to avoid future fluctuations
21	b	Securities and Exchange Board of India (SEBI)
22	b	To learn and practice trading strategies without risk

Part B-Multiple Choice Questions- Attempt 25 questions. Each question carries 2 marks

23	a	Both A and R are true, and R is the correct explanation of A
24	b	It facilitates trading of shares post-listing
25	c	III only
26	b or d	Limit order OR Trailing Stop Order (2 marks for both options)
27	a	To keep the index updated and accurate
28	b	In the money
29	c	IPO is generally costlier than QIP
30	c	An agreement between a company and a stock exchange
31	d	ii and iii
32	c	Promoting investor awareness and education
33	a	By penalizing fraudulent practices and promoting transparency
34	a	Forwards have higher counterparty risk due to no clearing house involvement.
35	c	Issuing physical share certificates
36	b	Statement I is True and Statement II is False
37	a	Red Herring Prospectus
38	c	Statement I is false, and Statement II is true.
39	d	Both statements are true
40	d	Depository Participant
41	c	Futures and options
42	a c	Sell the stock for profit- 2 marks Buy more shares at the current price – 1 mark
43	c	Speculation can accelerate price discovery by incorporating diverse market expectations.
44	c	Statement I is false, and Statement II is true
45	c	I, II, and IV only
46	a	Holding securities in electronic form and facilitating trade settlements
47	b	Facilitates stock trading and investments
48	a OR d*	(i), (ii) and (iv) only (i) , (ii), (iii) and (iv)
49	a	Both (A) and (R) are true, and (R) is the correct explanation of (A).